

KRW: Rising Korean equities could create a “paradoxical phenomenon” of FX demand

There are still reasons to remain cautious on KRW, despite some positive shifts in external and local factors.

- Our negative stance on KRW is gradually shifting, due to recent external and local developments, but here are still reasons to be cautious.
- Overall, we believe that, without an alignment of several factors – including de-escalation in US-Iran that drives a softer USD, an increase in Korean exporters’ remittance and relatively less exuberance (but without risk negativity) on the global AI cycle – Korea’s BoP dynamics will remain unfavorable.
- We conducted a scenario analysis on Korea’s BOP dynamics, taking into account three scenarios of FX demand.
- One key driver of Korea BOP dynamics is National Pension Service’s (NPS) revision of its 2026 asset allocation targets, which implies reduced local portfolio outflows.
- However, in our assessment, rising domestic equity values are a bane to KRW, as the NPS may still need to rebalance some of its domestic equities allocation.
- Furthermore, a further rally in Samsung Electronics and SK Hynix could trigger significant forced selling by funds that have a 10% single-stock cap rule.
- If Samsung Electronics and SK Hynix rally by 60%, and the broader market rallies by 10%, foreign outflows from these stocks could reach as much as USD48bn.
- Interestingly, Korea Chief Presidential Secretary for Policy Mr Kim commented (*Yonhap Infomax*, 25 May) that recent KRW weakness is “a paradoxical phenomenon created by success, rather than a vulnerability of the Korean economy”.

Korea’s surging current account surplus (as high as USD37.3bn in March 2026; ~23% of GDP annualised), driven by its strong tech exports, and the strong outperformance in KOSPI index (YTD: +87%; top performing major global index) should have resulted in KRW outperformance. However, KRW has instead weakened by ~5.5% year-to-date against both USD and its NEER basket, as one of the worst performers in AeJ.

Our negative stance on KRW...

We have maintained a negative stance on KRW so far this year; we first initiated a short KRW versus CNH position on *8 January 2026*, which reached our 6% target on *31 March*, and we have since remained cautious because of negative BoP pressures (i.e., higher energy prices, retail portfolio outflows, NPS overseas investments, FX hoarding, the K-shaped economy and limited impactful measures taken by Korean authorities, as discussed in our *14 April* publication).

... is gradually turning due to recent external and local developments...

From here, we are turning less negative on KRW, owing to *improvements* in both external and local conditions, as **any signing of a US-Iran agreement would likely represent a partial relief from the terms-of-trade shock** across many local FX (i.e., broad USD should weaken). Locally in Korea, there have also been a few significant changes in capital flow dynamics, including the **NPS announcing meaningful changes to its end-2026 portfolio allocation targets** (i.e., increasing allocation to domestic equities; see below), as well as **Korean retailers shifting to net small sellers of US portfolio assets** in recent months (April and May 2026 also marked the *first two consecutive months of net selling* since June 2023).

... but there are still reasons to remain cautious

However, there are reasons to remain cautious on KRW until we see significant global

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tailwind from a weaker broad USD. These include: 1) a **lack of clarity over whether the recent near-zero Korean retail allocation into US equities is a temporary pause**. The US remains the anchor of the global AI theme, and upcoming IPOs – including SpaceX (likely on 12 June), Anthropic and OpenAI (likely in H2 2026) – could attract significant Korean retail interest; 2) **the change in NPS's asset allocation targets, which may not be sufficient to completely stop its overseas allocations**, especially if NPS's AUM continues to grow, even if led only by gains in its domestic equities allocation (see below); 3) our analysis showing a **risk of large foreign equity outflows, if Samsung Electronics and SK Hynix continue to outperform strongly**, owing to the 10% single-stock cap rule on global funds (see below); and 4) statements by Korean authorities (*Bloomberg*, 8 June) and local media reports (*Chosun*, 26 May) suggesting **Korean corporates are hoarding USD**, which means a notable reduction in actual net trade settlement inflows.

Overall, we believe an **alignment of several factors is necessary for KRW to outperform** ahead. The first being a **de-escalation in US-Iran** (softer USD) and RMB appreciation, which could lead to an **increase in Korean exporter remittances**. Another factor is a reduction in the **exuberance (but no risk negativity) over the global AI cycle**, which could sustain the slowdown in Korean retail portfolio outflows into the US, lower the risk of foreign equity selling because of the 10% single-stock cap rule and slow the NPS's AUM growth (thereby lowering the need to diversify overseas). However, we are likely not there yet: **Korea's BoP dynamics could remain unfavorable without an alignment of these aforementioned factors**.

A scenario analysis on Korea's BoP dynamics

We conducted a scenario analysis on Korea's BOP dynamics, taking into account three scenarios of FX demand over a 12-month period from: i) Korean corporates' **USD hoarding**; ii) Korea government's commitment for a **USD200bn cash investment into the US**, capped at USD20bn annually; iii) NPS's and Korean retailers' **local portfolio outflows**; and iv) **foreign portfolio outflows** (i.e., 10% single-stock cap rule and WGBI inclusion).

1. In a **negative BOP scenario (A)**, where Korean corporate repatriate 40.4% (based on China's weak corporate repatriation ratio between January and November 2025) of the USD325bn current account surplus (i.e., Nomura's forecast from Q3 2026 to Q2 2027), retail investors purchase foreign portfolio assets at a very strong pace (i.e., the pace observed in the 12 months to March 2026; USD47.2bn) and strong outperformances by Samsung and SK Hynix (100% gains) trigger foreign investors to aggressively limit their holdings (among other assumptions; see Figure 1), **Korea's major BOP flows would be very negative**, with net outflows of USD204.7bn.
2. In a **moderate BOP scenario (B)**, where Korean corporate repatriate 60.1% (based average of A and C) of the USD325bn current account surplus (i.e., Nomura's forecast from Q3 2026 to Q2 2027), retail investors slow purchases of foreign portfolio assets to 50% of scenario (A), and outperformances by Samsung and SK Hynix (60%) trigger a rather large unwinding of foreign investor positioning (among other assumptions; see Figure 1), **Korea's major BOP flows would be slightly negative**, with net outflows of USD16.7bn.
3. In a **positive BOP scenario (C)**, where Korean corporate repatriate 79.8% (based on China's strong corporate repatriation ratio over the past five months to April 2026) of the USD325bn current account surplus (i.e., Nomura's forecast from Q3 2026 to Q2 2027), retail investors slow their purchases of foreign portfolio assets to zero, and modest outperformances by Samsung and SK Hynix (30%) trigger a limited unwinding of foreign investor positioning (among other assumptions; see Figure 1), **Korea's major BOP flows would be very positive**, with net inflows of USD149.6bn.

Fig. 1: Simulation of Korea's major BOP components

Korea major BOP components											
USD bn	2020	2021	2022	2023	2024	2025	Avg fr 2020	Past 12M	Scenario A (12M)	Scenario B (12M)	Scenario C (12M)
Current Account	76	84	23	33	100	123	75	202	131	195	259
Financial Account	-59	-64	-48	-35	-90	-117	-71	-174	-336	-212	-109
FDI Asset	-35	-66	-66	-32	-50	-41	-43	-57	-115	-96	-77
FDI Liability	9	22	25	19	13	16	16	22	22	22	22
PI Asset (Eq+Dbt)	-59	-78	-46	-45	-67	-140	-70	-128	-114	-66	-22
PI Liability (Eq+Dbt)	17	59	20	37	21	53	26	13	-92	-41	-8
Net OI	9	0	19	-14	-7	-4	1	-24	-37	-31	-24
Net of major BOP components	17.1	20.2	-24.3	-2.9	10.2	5.6	4.0	27.6	-204.7	-16.7	149.6

Note: 1) CA is Nomura forecasts – Q3 2026 to Q2 2027 (USD325bn surplus). **Scenario (A)**: assume 40.4% of CA are converted back to KRW, based on China's weak corporate repatriation ratio between Jan to Nov 2025; **(B)**: average ratio of (A) and (C); and **(C)**: 79.8% of CA, based on China's strong corporate repatriation ratio in the past 5M to April 2026.

2) **FDI Asset**: **(A)**: 1.5x of past 12M realised net FDI plus pledged US investment of USD20bn per annum cap; **(B)**: average of (A) and (C); **(C)**: past 12M realised net FDI plus pledged US investment of USD20bn per annum cap.

3) **PI Asset**: i) on **Korean retail portfolio outflows**: **(A)**: assume strong retail outflows portfolio of USD47.2bn observed in the 12 months to Mar 2026; **(B)**: assume half of (A); **(C)**: assume zero outflows. ii) on **NPS outflows**: **(A)**: assume rebalancing outflows of USD67.1bn (away from domestic equities) if Samsung/SK Hynix up 100%, others up 10%; **(B)**: outflows of USD42.9bn if Samsung/SK Hynix up 60%, others up 10%; **(C)**: outflows of USD22.0bn if Samsung/SK Hynix up 30%, others up 5%.

4) **PI Liability**: i) on **foreign equity outflows**: Scenario **(A)**: assume outflows of USD95.3bn if Samsung/SK Hynix up 100%, others up 10%; **(B)**: outflows of USD47.9bn if Samsung/SK Hynix up 60%, others up 10%; **(C)**: outflows of USD18.9bn if Samsung/SK Hynix up 30%, others up 5%. ii) on **foreign bond inflows** from FTSE WGBI inclusion wt at 2.05% (AUM USD2.75trn) from April 2026 over 8 months of equal allocation: **(A)** 90% FX hedged; **(B)** 80% FX hedged; and **(C)** 70% FX hedged.

5) **Net OI**: **(A)**: assume OI outflows picked up to 1.5 times of **(C)** over the past 12 months; **(B)**: average of (A) and (C); **(C)**: past 12M Net OI.

Source: Bloomberg, CEIC, Korea NPS, Nomura.

NPS's revised 2026 asset allocation targets implies reduced portfolio outflows...

Following its fifth fund management committee meeting, NPS announced **adjustments to its target weightings for 2026**, as well as approved the medium-term asset allocation for 2027-2031. Focusing on NPS's 2026 asset allocation target, the key changes are:

- **Increase the end-2026 target weighting of domestic stocks to 20.8%** (from 14.9%) in order to “enhance the fund's long-term profitability... **mitigate the market impact of rebalancing**... possibility of structural changes in the domestic stock market”.
- NPS also **temporarily expanded the allowable range for Strategic Asset Allocation (SAA)** “to flexibly respond to the highly volatile domestic equity market” (*MOHW press release*, 28 May). Although NPS did not disclose the new SAA range, *Yonhap Infomax* (29 May) reported that the range has been temporarily expanded from 3% to 6%. Including NPS's 2% Tactical Asset Allocation range, this implies NPS may temporarily hold up to **28.8% in domestic equities** before mandatory rebalancing.
- The new target will only be **applicable “from end-June**, when the rebalancing grace period ends” (*MOHW press release*, 28 May). Recall that, at its first fund management committee meeting, NPS had also **temporarily refrained** from rebalancing its portfolio when the SAA tolerance (i.e., +/-3%) was exceeded.
- Overall, by our calculations, NPS's new target allocation into domestic assets (i.e., equities, bonds and alternatives) will rise to **45.3% from 41.3%**, based on its *previous* 26 January 2026 revision. Based on latest asset allocation data from March 2026 and NPS's new targets, we estimate that **NPS's outflows to overseas assets for the remaining of 2026 may be close to zero** (i.e., USD1.2bn), from outflows of USD43.9bn based on previous targets set in January 2026 (Figure 2).

Fig. 2: Korea NPS's new 2026 asset allocation targets as announced on 28 May 2026

Financial Investments	Actual as of Mar-2026		NPS target as of End-2026 (Jan)		NPS target as of End-2026 (May)		Flow impact by end 2026 JAN (Mar-26 Act. to end-26 Tgt.)		Flow impact by end 2026 MAY (Mar-26 Act. to end-26 Tgt.)	
	%	KRW trn	%	KRW trn	%	KRW trn	KRW trn	USD bn	KRW trn	USD bn
Domestic Equities	21.1%	321	14.9%	242	20.8%	337	-79.3	-52.1	16.4	10.8
Domestic Bonds	19.2%	293	24.9%	404	23.1%	375	111.2	73.1	82.0	53.9
Domestic Alternatives*	1.6%	24	1.5%	24	1.4%	22	-0.4	-0.3	-2.0	-1.3
Overseas Equities	36.6%	557	37.2%	603	34.7%	563	46.2	30.4	5.7	3.7
Overseas Bonds	6.9%	105	8.0%	130	7.4%	120	24.4	16.1	14.7	9.7
Overseas Alternatives*	14.7%	223	13.5%	220	12.6%	205	-3.9	-2.6	-18.6	-12.2
Total**		1523		1622		1622	98	65	98	65
Domestic	41.9%	638	41.3%	669	45.3%	734	31.5	20.7	96.4	63.3
Overseas	58.1%	886	58.7%	953	54.7%	888	66.7	43.9	1.8	1.2

Note: *Assume breakdown of domestic (9.7%) versus overseas (90.3%) alternatives asset is similar to that of Mar-2026. ** 2026 AUM growth is based on NPS's projection of KRW131trn (scaled linearly) on top of the latest available AUM as of Mar-2026. Use USD/KRW rate at 1,522 as of 10-Jun-2026. May allocation is based on NPS' 28 May 2026 announcement that it will increase its 2026 allocation to domestic equities (+5.9pp).

Source: Bloomberg, NPS, Nomura.

... however, rising domestic equities value is a bane to KRW, as NPS may still need to rebalance some of its domestic equities allocation...

However, this may **severely understate potential NPS portfolio outflows into overseas assets amid a surging domestic stock market**. Indeed, our Korea equity strategy team raised our **2026 KOSPI target to 10000-11000** (from 7,500-8,000), implying up to 36% upside from the current level of ~8,097, owing to AI-driven earnings generating sustainable ROE.

- Since 31 March 2026 (latest available NPS asset allocation data), the KOSPI Index has rallied by ~60%. Assuming NPS's domestic equities allocation rose by that percentage and keeping everything else unchanged, we estimate **NPS may need to reallocate into USD70.5bn worth of overseas assets to meet its new end-2026 allocation targets** (Figure 3).
- Interestingly, NPS noted that the new allocation targets will only be **applicable "from end-June, when the rebalancing grace period ends"** (*MOHW press release*, 28 May). With the hypothetical domestic allocation based on 60% KOSPI rally since March 2026 already at 29.9%, the **risk is that NPS may need to continue reducing its domestic equities holdings until the end of June 2026**. Local media (*Yonhap Infomax*, 29 May) reported that NPS's current holdings of domestic stocks may be in the "low 27% range".
- We note that NPS's actual allocation into **domestic equities dropped to 21.1% in March 2026 from 24.7% in February 2026**, while actual allocation into overseas equities and bonds rose to 36.6% and 6.9%, respectively, in March 2026, from 35.8% and 6.3% in February 2026. Along with valuation effects (in March 2026, KOSPI: -19.1%, S&P500: -5.1%), **NPS's rebalancing into overseas portfolio assets could also have contributed to onshore spot USD/KRW breaking new highs in March 2026** (1,536.95 on 31 March 2026), along with the impact of Iran war and foreign investor selling of local equities (-USD23.8bn).

Fig. 3: The 60% rally in KOSPI index since 31 March 2026 implies that NPS may need to continue unwinding some of its domestic equities holdings

Financial Investments	KOSPI up 70% since Mar-2026		NPS target as of End-2026 (Jan)		NPS target as of End-2026 (May)		Flow impact by end 2026 JAN (Mar-26 Act. to end-26 Tgt.)		Flow impact by end 2026 MAY (Mar-26 Act. to end-26 Tgt.)	
	%	KRW trn	%	KRW trn	%	KRW trn	KRW trn	USD bn	KRW trn	USD bn
Domestic Equities	29.9%	513	14.9%	270	20.8%	377	-243.1	-159.7	-136.1	-89.4
Domestic Bonds	17.1%	293	24.9%	452	23.1%	419	159.1	104.6	126.5	83.1
Domestic Alternatives*	1.4%	24	1.5%	27	1.4%	25	2.4	1.6	0.6	0.4
Overseas Equities	32.5%	557	37.2%	675	34.7%	630	117.9	77.4	72.5	47.6
Overseas Bonds	6.1%	105	8.0%	145	7.4%	134	39.8	26.2	28.9	19.0
Overseas Alternatives*	13.0%	223	13.5%	246	12.6%	229	22.1	14.5	5.8	3.8
Total**		1716		1814		1814	98	65	98	65
Domestic	48.4%	830	41.3%	749	45.3%	821	-81.6	-53.6	-9.0	-5.9
Overseas	51.6%	886	58.7%	1066	54.7%	993	179.8	118.2	107.2	70.5

Note: *Assume breakdown of domestic (9.7%) versus overseas (90.3%) alternatives asset is similar to that of Mar-2026. ** 2026 AUM growth is based on NPS's projection of KRW131trn (scaled linearly) on top of the latest available AUM as of Mar-2026. Use USD/KRW rate at 1,522 as of 10-Jun-2026. May allocation is based on NPS' 28 May 2026 announcement that it will increase its 2026 allocation to domestic equities (+5.9pp).

Source: Bloomberg, NPS, Nomura.

... rising domestic equity values could also trigger significant forced selling by funds that have a 10% single-stock cap rule...

Around mid-May 2026, our discussions with market participants suggested very large foreign outflows from **Korea equity market were predominantly caused by portfolio management at equity funds**, where money managers may be required to limit exposure to any single stock to below 10% of total AUM.

For example, European Union's UCITS (Undertakings for Collective Investment in Transferable Securities) regulation **stipulates that a UCITS fund cannot hold more than 10% of its assets in a single issuer** and the assets where holdings are greater than 5% should not accumulate to more than 40% of total. Major equity index benchmark providers also have indexes that have implemented similar rules (e.g., MSCI 10/40 Indexes).

We understand that some fund **allocations into Samsung Electronics and SK Hynix may have breached the 10% limit** (*Bloomberg*, 29 May) following their very strong rally in May (43% and 83%, respectively; Figure 4).

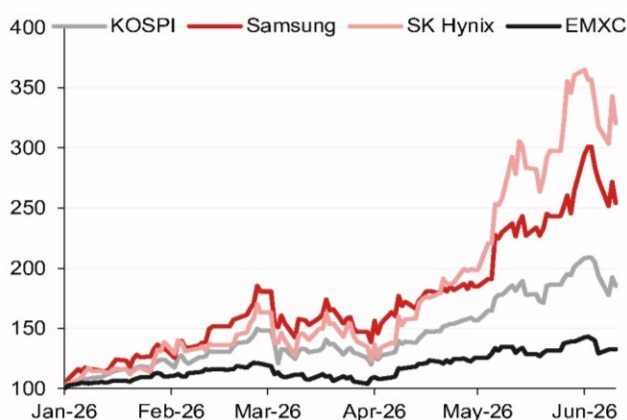
... and we estimate that a further rally by Samsung Electronics and SK Hynix could trigger further large foreign equity outflows

With this in mind, we estimate **the evolution of the index weightings of these two largest Korean semiconductor companies within the major equity indexes** that have 10/40 allocation constraints since the start of May 2026. We are also able to conduct a **scenario analysis on potential foreign outflows** from these two stocks, if they continue to rally strongly, as forecasted by our Korea Tech equity team. From the closing price of 9 June 2026, our team forecasts (see *Global Memory – Real AI boom is here, embrace the new regime*, 15 May 2026) **80% and 79% of further potential upside in Samsung Electronics and SK Hynix, respectively.**

Our key takeaways are as such:

- Our estimates suggest fund allocations into Samsung Electronics and SK Hynix may have **breached the 10% limit around 13 May 2026 and 6 May 2026, respectively**, broadly in line with when market discussions on the topic began.
- Based on broad assumptions that these “10% limit capped funds” rebalanced their portfolio to keep within limits in May, and that outflows from Samsung Electronics and SK Hynix were predominately driven by these funds, we can estimate the total AUM size of these “10% limit capped funds”. With these, we **conducted a scenario analysis on the potential flow portfolio outflows based on the rally in Samsung and SK Hynix, and the broader market (i.e., MSCI EM ex-China).**
- In the **scenario where Samsung Electronics and SK Hynix rally by 60%** (close to Nomura's forecast), and the broader market rallies by 10% (close to the rally in broader market – MSCI EM ex-China – in May 2026), **foreign outflows from these stocks could reach USD48bn** (Figure 5). We note that outflows from Samsung Electronics and SK Hynix totalled USD24.6bn in May 2026.

Fig. 4: Samsung and SK Hynix outperformed (Jan-2026 = 100)



Source: Bloomberg, Nomura.

Fig. 5: Scenario analysis on potential foreign selling of Samsung and SK Hynix on rally

Est. Foreign outflows (USD bn)		Broad mkt move			
		2%	5%	10%	20%
Samsung and Sk Hynix move	10%	3	0	0	0
	30%	23	19	13	4
	60%	58	54	48	35
	100%	106	102	95	82

Source: Bloomberg, Nomura.

Please see *Strategy portfolio update* (7 May 2026) for our full portfolio.

Appendix A-1

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